

Hello friends !!!

Today we are going to learn about flag and pennant chart patterns.

The flag and pennant patterns are two continuation patterns that closely resemble each other. The only difference is their shape during the pattern's consolidation period. This is the reason the terms flag and pennant are often used interchangeably. A flag is a rectangular shape, while the pennant looks more like a triangle.

Bullish flag formations are found in stocks with strong uptrends. They are called **bull flags** because the pattern resembles a **flag** on a pole. The pole is the result of a vertical rise in a stock and the **flag** results from a period of consolidation.

After a steep rise in the stock price it will take sideways for one or two weeks with small downside in price. This period is called consolidation and it is called Flag or pennant. The steep price increase is called a Pole. During the consolidation period stock is getting prepared for next up move.

One of the important factor during the flag or pennant breakout is a volume. We will see a sharp increase in volume when the breakout happens.

The Flag

The flag pattern forms what looks like a small channel either flat or sloping. The channel is formed by two parallel trend lines that act as support and resistance for the price until the price breaks out. In general, the flag will not be perfectly flat but will have its trend lines sloping.

In general, the slope of the flag should move in the opposite direction of the initial sharp price movement; so if the initial movement were up, the flag should be downward sloping.

The buy or sell signal is formed once the price breaks through the support or resistance level, with the trend continuing in the prior direction. This breakthrough should be on heavier volume to improve the signal of the chart pattern.

The Pennant

The pennant forms what looks like a Symmetrical triangle, where the support and resistance trend lines converge towards each other. The pennant pattern does not need to follow the same rules found in triangles, where they should test each support or resistance line several times. Also, the direction of the pennant is not as important as it is in the flag; however, the pennant is generally flat.

Time Frame

For positional trades use daily / Weekly / Monthly time frame. Longer the time frame stronger the breakout. When u use daily time frame ensure the breakout happens when the price closes above the trend line on a daily closing price basis. Same applies for weekly and monthly time frame.

How to calculate Target

The target is set based on the height of the Pole. Once flag or pennant gives price breakout above the trend line then we can expect it to achieve the height of the pole from the Breakout point.

Support levels

The flag or pennant top trend line becomes immediate support level after breakout and the bottom trend line is your final support. Normally I keep the respective breakout candle low as immediate support. Weakness is shown once the price closes below the breakout point. But do not exit in panic. You can exit once the price closes below the bottom trend line of the flag.

Refer below the examples given for flag and pennant patterns.

Few examples of flag pattern.

Bata – Weekly Flag



Tata steel – Daily chart



Ashok Leyland – Flag and pennant



Hope all of you enjoyed the session.

If you still not clear about the flag patterns you can always google for learning any patterns.

With loads of luv

Chart Bank – Mv ☺